

TOP FIVE BANKS IN THE BT500 LIST

HDFC Bank has again emerged as the top ranked lender on the BT500 2022 list

Bank	Rank 2022/2021	Total assets (₹ crore)	Total income (₹ crore)	Profit after tax (₹ crore)	RoCE (%)	RoNW (%)	PAT margin (%)
HDFC Bank	3/3	21,22,934.3	1,67,695.4	38,150.9	14.1	16.7	28.1
ICICI Bank	6/7	17,52,637.4	1,57,536.3	25,783.8	13.0	15.5	27.0
SBI	8/10	53,60,883.5	4,06,973.1	36,356.2	8.8	13.6	12.5
Kotak Mahindra	12/8	5,46,497.9	59,051.0	11,931.9	12.8	13.2	35.4
Axis Bank	25/17	11,95,528.5	86,114.2	14,164.4	9.5	12.8	20.6

ALL FIGURES FOR FY22

88 |

But for HDFC Bank, the past two years have been rough as its stock underperformed the Sensex by a wide margin. For instance, the Sensex was up nearly 30 per cent in 2021 while HDFC Bank's shares clocked gains of just 3 per cent. That's not to say that HDFC Bank—incorporated in August 1994 and which, as on June 30, had nearly 6,500 branches and 19,000 ATMs across 3,226 towns or cities—is a perennial laggard. As recently as 2019, its shares had gained nearly 20 per cent when the Sensex had moved up by around 15 per cent. And that wasn't the only time when its stock outperformed the BSE in a calendar year.

Coming back to the list, HDFC Bank's average market cap grew just 1.2 per cent year-on-year during the study period—the lowest among all banks on the list. In the same period, private sector rival ICICI Bank saw its average market cap rise nearly 31 per cent, while public sector giant State Bank of India (SBI) registered a rise of nearly 42 per cent.

The bank, however, believes it has a role to play in the Indian economy, which assumes significance due to the high expectations on In-



“We will have a trusted housing finance brand with us, and the two merged entities (subject to necessary approvals) will result in a larger and stronger bank... There will be some challenges in terms of integration, but these will be purely transitory in nature”

S. VAIDYANATHAN
CFO, HDFC BANK

dia's growth in the coming years. “We are well-positioned to capture the expanding growth in loans with a complete suite of products that caters to wholesale, SME as well as retail customers,” says Srinivasan Vaidyanathan, CFO of HDFC Bank.

The CFO points out that while the liabilities of the housing finance entity will mature over time, the bank's enhanced deposit mobilisation and expanded branch network backed by improved sales processes will help it fund the additional liabilities. “Post-merger, we would have one of the highest capital adequacy ratios [among banks in India] and may not need to raise funds immediately,” says Vaidyanathan.

Then what ails HDFC Bank? Even though it has been a consistent wealth creator, its stock seems to be under pressure.

BULLISH, BUT WITH A CATCH

Analysts remain bullish on HDFC Bank, with many having a buy call and a price target that is notably higher than its stock's current market price. But this comes with a wait-and-watch caveat due to the